Peak Chinese oil demand is behind us

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summary

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Weak domestic demand, rapid electrification, and feedstock substitution will limit the extent of any recovery in Chinese oil demand.
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If elected president, Brazilian Senator Flavio Bolsonaro would fast-track reforms through his right-leaning congress.
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Brazil's workweek reduction bill is likely to pass before the second-round presidential election with Flavio's support.
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In the most likely scenario of a Democratic sweep, Republicans’ lame duck legislative session may produce less legislation than previously assessed.
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Countries and sectors in this edition of the Daily Brief include the US, Brazil, China, and oil.

the top line

China, Oil—China’s oil demand has peaked

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Weak domestic demand, rapid electrification, and feedstock substitution will limit the extent of any oil demand recovery.
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Beijing will prioritize energy security over market efficiency through centralized inventory management and diversified crude sourcing, while shielding consumers from higher crude costs by requiring producers to absorb them.
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Refined-product export controls will remain an ongoing risk, driven by domestic concerns, though new refining capacity could ease constraints over time.

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Read more here . Reach out to discuss: china@eurasiagroup.net .

Brazil—Bolsonaro would fast-track reforms through a rightward congress

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While Brazilian voters are nearly evenly divided between President Luiz Inacio Lula da Silva and Flavio Bolsonaro, the balance of power in Brazil's institutions now clearly favors the right.

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Bolsonaro will have the strongest presidential party this century if elected, with his Liberal Party (PL) the largest in both houses and allies likely to lead both chambers with a less fragmented majority.

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Congress would likely help Bolsonaro pass fiscal, administrative, and tax reform, and would work with a Lula administration initially, but governability challenges would grow over time.

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Read more here . Reach out to discuss: brazilresearch@eurasiagroup.net .

US—Republicans' lame duck priorities won't fly

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With Republicans likely to lose both the House and Senate, limited legislative days left in the year, pending impeachment proceedings, and crucial funding bills may cause this year’s lame duck session to produce less legislation than we’ve previously assessed.

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The legislative agenda will likely consist of a short-term punt on government funding, with the Senate’s permitting bill likely to pass both chambers, but with downside risks from the compressed timeline and Democrats’ lingering questions about White House commitments on permitting freezes.

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The National Defense Authorization Act and the vital intelligence authorization bill may be packaged together to maximize their chance of passage, while President Donald Trump’s reconciliation bills will likely be downsized to a package around $80-$150 billion to maximize its political chances, but will face long odds all the same.

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Internal jockeying will also define the lame duck period, especially if Democrats take both chambers and shift their focus toward the 120th Congress. Factional infighting over future GOP leadership in Congress could limit the extent of policy action.

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Read more here . Reach out to discuss: unitedstates@eurasiagroup.net .

Chart of the Day, Geoeconomics—Markets are pricing more volatility ahead for interest rates

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Market expectations for US interest rate volality have increased sharply driven by higher-for-longer energy prices as war in the Middle East continues, as well as increased fiscal concerns and competition

for capital.

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However, expectations for equity volatility have remained subdued, implying that investors do not currently expect the recent sharp bond market moves and interest rate uncertainty to prompt large equity moves.

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This is consistent with the trend of continued stock market resilience despite higher global bond yields and geopolitical disruption, with equity investors focused on the start of earnings season as a signal of whether that resilience can be sustained.

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Reach out to discuss: geoeconomics@eurasiagroup.net

upcoming conference calls

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14 October 10:00 AM ET—Israeli election outlook with Ambassador Daniel Shapiro. Register here .

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15 October 11:00 AM ET—USMCA update. Register here .

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22 October 10:00 AM ET— US politics update with former Treasury deputy secretary Derek Theurer. Register here .

eg in brief

Brazil—Bolsonaro's backing puts workweek reduction on track for approval: Flavio Bolsonaro said he would vote in favor of Constitutional Amendment Proposal (PEC) 221/19. The amendment ends the 6-day workweek and cuts the standard workweek from 44 to 40 hours, with no pay reduction. Throughout the day, a growing number of opposition senators signaled they could follow Bolsonaro’s lead. Senate Speaker Davi Alcolumbre has scheduled the first-round vote for 14 October. Final approval before the runoff is now likely, possibly as early as 14 October, but business pressure remains a risk. Bolsonaro would still likely pursue the steps proposed by Senator Rogerio Marinho's PEC 12/2026, which allows hourly contracts with pro-rated vacation, year-end bonus, and the debate would then move from whether to cut hours to how flexible labor contracts should become. Read more here . Reach out to discuss: brazilresearch@eurasiagroup.net .

Upcoming events:

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14 October: Events: US Federal Reserve releases Beige Book and IEA releases monthly oil market report; Data: US CPI.

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15 October: Data: Eurozone, UK and Japan IP, UK GDP, and US retail sales and PPI.

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16 October: Data: Eurozone CPI, US cross-broder investment, IP, and import price index.

The EG Daily Brief is compiled by Jens Larsen, Lucy Eve, Babak Minovi, Pietro Guglielmi, Rahul Bhatia, Martina Silva, and Marianne Moreira.

We love feedback! Send us a note at DailyBrief@eurasiagroup.net .

closing quip

“Politics is in reality a question of conviction confronted by constraints. I have no intention of losing my convictions.”—French far-right presidential candidate Marine Le Pen said in an interview with the Financial Times on Wednesday.

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